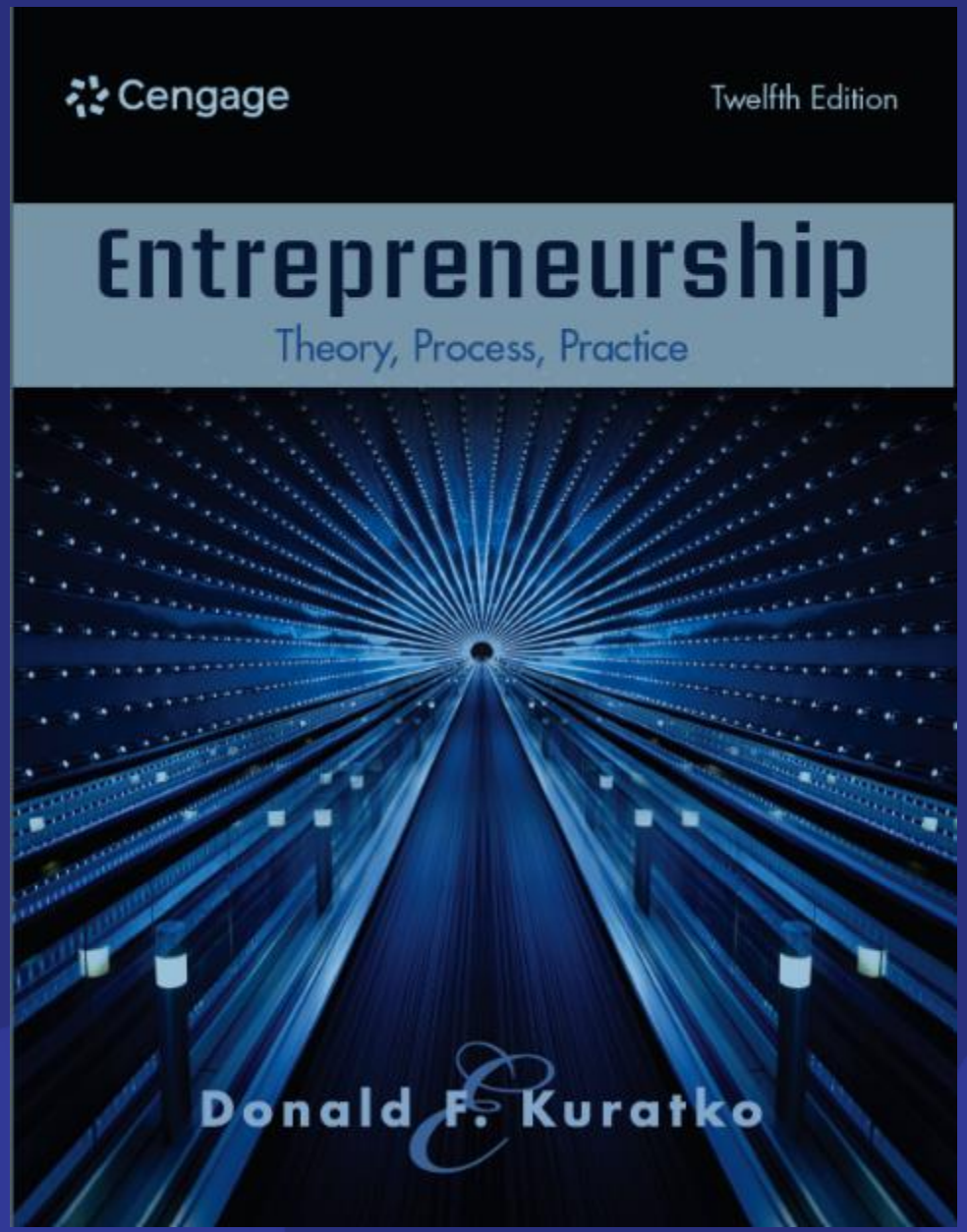


Entrepreneurship: Theory, Process, Practice, 12e

Chapter 7: Pathways to Entrepreneurial Ventures

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Icebreaker

- Have you ever considered a franchise? Do you know anyone that has invested in one?
- Overall, what are your impressions of franchising?

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Chapter Objectives

7.1 Describe the major pathways and structures for entrepreneurial ventures.

7.2 Explain the newness dimensions involved in creating a “new venture.”

7.3 Discuss the elements involved in acquiring an established venture.

7.4 Outline 10 key questions to ask when buying an ongoing venture.

7.5 Describe the underlying issues involved in the acquisition process.

7.6 Define a franchise and outline its structure.

7.7 Outline the benefits and drawbacks of franchising.

7.8 Explain the franchise disclosure document (FDD) as a key item in franchises.

7.9 Describe the elements involved with incubators, accelerators, and entrepreneurial ecosystems.

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Pathways to New Ventures for Entrepreneurs

- Methods for Getting a Business Started
  - Creating a new venture
  - Acquiring an existing venture
  - Obtaining a franchise

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Creating New Ventures

- Approaches to Creating a New Venture
  - **New-New Approach**
    - People's awareness of their daily lives for developing new business ideas.
    - Notice annoying everyday experiences or problems of known products or services.
  - **New-Old Approach**
    - Individuals "piggy-backing" on someone else's idea by improving a product or service in an area in which it is not currently available.
    - Offer a product/service that is difficult to copy.

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Trends in Creating Business Opportunities

Emerging Opportunities	Emerging Internet Opportunities
Social and Environmental Responsibility	*Mobile Advertising*
Gender-neutral products	Micro-influencers
Ethical products	Influencer marketing platforms
Diversity and minority groups	Podcast advertising platforms
Locally made or locally sourced products	Affiliate marketing platforms
Organic food delivery	Content marketing
Reducing food waste	*e-Commerce*
Health Care	Mobile commerce
Mental health	Social commerce
Biopharma	Groceries
Telehealth	Personal care
Niche Markets	Home workout equipment
Plant based	Seasonal
Vegetarian and vegan	*Financial Services*
LGBTQ+	Digital credit cards
Gamers	Mobile banks
Remote workers	Cryptocurrency
Environmentally conscious	*Data Processing and Storage*
Automation	Real-time analytics
Supply chains	Edge computing
Autonomous vehicles	Cloud computing
Customer service chatbots	Artificial intelligence
Internet of Things	*Cybersecurity*
Voice-powered technologies	*Virtual Environments*
Real estate	Metaverse
Smart cities	Virtual and augmented realities
Inventory management	Virtual gaming/simulation platforms
Supply chain management	*Human Resources*
Patient health monitoring	Work-management platforms
Senior care	

***Source*:** Adapted from Steve Cooper, Amanda C. Kooser, Kristin Ohlson, Karen E. Spaeder, Nichole L. Torres, and Sara Wilson, "2007 Hot List," *Entrepreneur* (December 2006): 80–93; and "The World's 50 Most Innovative Companies," *Fast Company* (March, 2015).

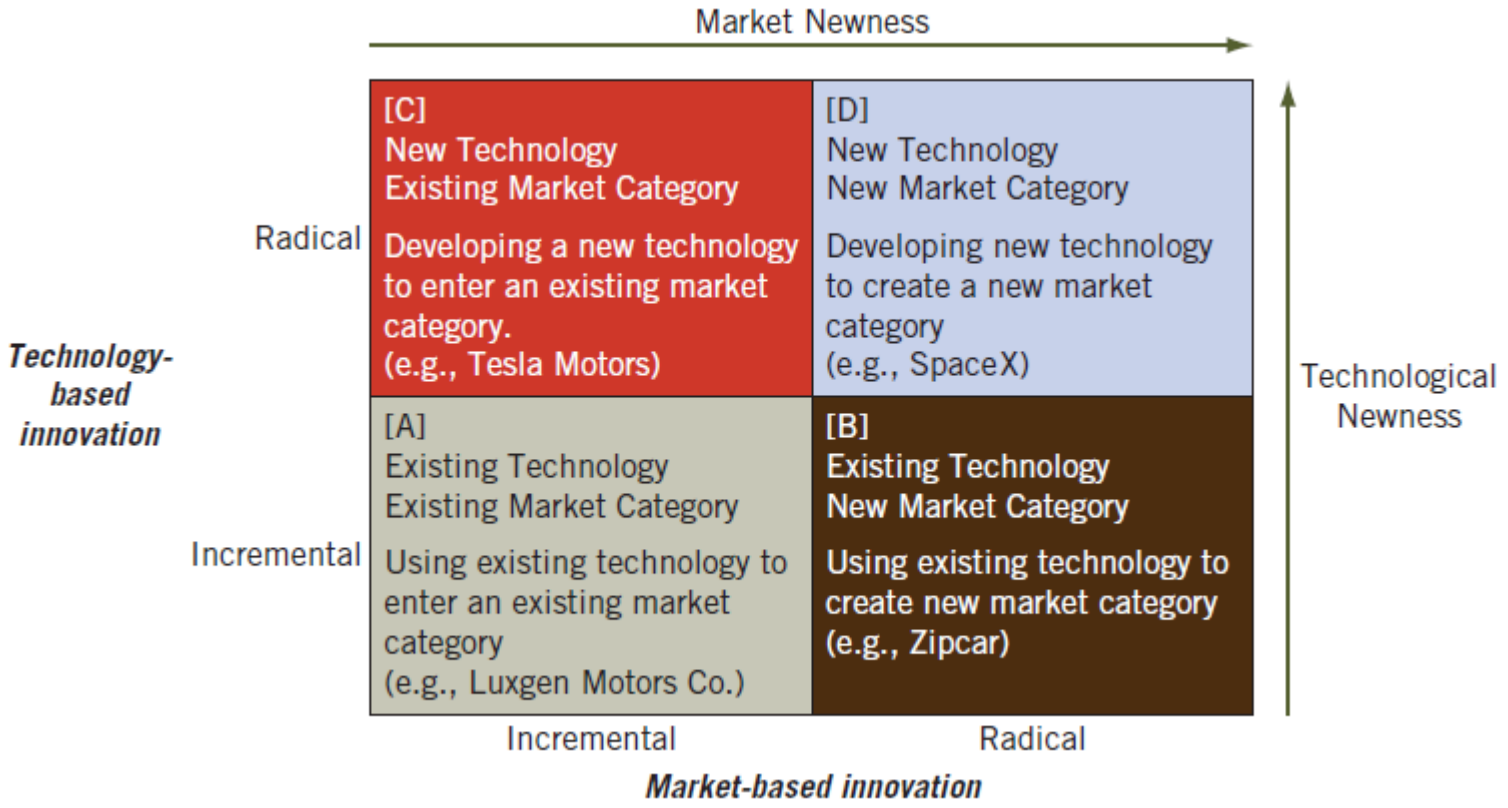
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A Newness Framework for New Ventures

- Different Dimensions of Newness
  - Incremental market disruption
    or
  - Radical market disruption
- Leveraged by
  - Incremental technological advances
    or
  - Radical technological advances

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Entrepreneurial Newness Framework



***Source*:** Donald F. Kuratko, Greg Fisher, James M. Bloodgood, and Jeffrey S. Hornsby, "The Paradox of New Venture Legitimation within an Entrepreneurial Ecosystem," *Small Business Economics*, 49 vol. 1 (2017): 124.

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Group Activity 7-1

- Divide the class into four groups.
- Assign each group a square in the Entrepreneurial Newness Framework.
- Each group should research to find at least one franchise that they believe fits in that square.
- Present and explain your selection to the class.

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Examining the Financial Picture When Creating New Ventures

- **Upside Gain and Downside Loss** Expectations; **Profit Trend**
  - The profits the business can make and the losses it can suffer.
    - How much money will the enterprise take in if all goes well?
    - How much will it gross if operations run as expected?
    - How much will it lose if operations do not work out well?
- **Risk versus Reward** Analysis
  - Points out the importance of getting an adequate return on the amount of money risked.

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Checklist for Estimating Start-Up Expenses (1 of 2)

Monthly	Expenses	Cash Needed to Start the Business	What to Put in Column 2
Item	Estimate based on sales of $___ per year	(see column 3)	(These figures are estimates. The owner/ manager decides how many months to allow, depending on the type of business.)
	Column 1	Column 2	Column 3
Salary of owner/manager	$	$	3 times column 1
Other salaries and wages			3 times column 1
Rent			3 times column 1
Advertising			3 times column 1
Delivery expenses			3 times column 1
Supplies			3 times column 1
Telephone and telegraph			3 times column 1
Other utilities			3 times column 1
Insurance			6 times column 1
Taxes, Social Security			4 times column 1
Interest			3 times column 1
Maintenance			3 times column 1
Legal and other professional assistance			3 times column 1
Miscellaneous			3 times column 1

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Checklist for Estimating Start-Up Expenses (2 of 2)

Start-Up Costs		
Item	**Estimate**	**To Arrive at Estimate**
Fixtures and equipment	**$**	Determine what is typical for this kind of business; talk to suppliers.
Decorating and remodeling		Talk to a contractor.
Installation of fixtures, equipment	**t**	Talk to suppliers.
Starting inventory		Talk to suppliers.
Deposits with public utilities		Talk to utility companies.
Legal and other professional fees		Talk to a lawyer, accountant, or other professional.
Licenses and permits		Contact appropriate city offices.
Advertising and promotion		Decide what will be used; talk to media.
Accounts receivable		Estimate how much will be tied up in receivables by credit customers and for how long.
Cash		Allow for unexpected expenses and losses, special purchases, and other expenditures.
Other Expenses		List them and estimate costs.
Total cash needed to start	**$**_____	Add all estimated amounts.

Source: U.S. Small Business Administration, "Management Aids," MA. 2.025 (Washington, D.C.: U.S. Government Printing Office).

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Acquiring an Established Entrepreneurial Venture

- Acquiring an Established Entrepreneurial Venture
  - Personal preferences
  - Examination of opportunities Sources include:
    - Business brokers
    - Newspaper ads
    - Trade sources
    - Professional sources
    - Online sources

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Advantages of Acquiring an Ongoing Venture

- Less fear about successful future operation
  - Existing business has customers, control costs, profit
- Reduced time and effort
  - Already has inventory, equipment, personnel, facilities
  - Already has suppliers, bankers, accountants, lawyers
- A good price
  - Owner may want to sell quickly
  - Owner will, however, know the fair market value

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Evaluation of the Selected Venture

- The Business Environment
- Profits, Sales, and Operating Ratios
- The Business Assets
  - Inventory
  - Furniture, equipment, fixtures
  - Accounts receivable
  - Trademarks, patents, copyrights, business name
  - Goodwill

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Negotiating the Deal

- Factors Affecting Negotiations
  - Information
    - Company performance, competition, market, etc.
    - Gather info from numerous sources; not just seller.
  - Time
    - Having more time than the other party can be beneficial.
  - Pressure from others
    - Partners, negotiators, etc.
  - Alternatives
    - Parties with no alternatives have an interest in concluding negotiations quickly.

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Group Activity 7-2

- Divide into groups of three or four.
- Ideally, the group would interview the owner, vendors, competitors, customers, and employees of a potential franchise. Since this is not possible, each group should research online reviews of a franchise organization.
- Also go to the website of the franchise to see how it promotes itself.
- Present to the class, on whether you would recommend this franchise and why?

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Franchising: The Hybrid

- The **Franchise**
  - Any arrangement in which the owner of a trademark, trade name, or copyright has licensed others to use it in selling goods or services.
- **Franchisee**: The purchaser of a franchise.
- **Franchisor**: The seller of the franchise.

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How Franchising Works (1 of 2)

- Franchisee Obligations:
  - Make a financial investment in the operation.
  - Obtain and maintain a standardized inventory and/or equipment package usually purchased from the franchisor.
  - Maintain a specified quality of performance.
  - Follow a franchise fee as well as a percentage of the gross revenues.
  - Engage in a continuing business relationship.

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How Franchising Works (2 of 2)

- Franchisor Provides:
  1. The company name
  2. Identifying symbols, logos, designs, and facilities
  3. Professional management training for each independent unit's staff
  4. Sale of merchandise necessary for the unit's operation, equipment to run the operation, and the food or materials needed for the final product
  5. Financial assistance, if needed
  6. Continuing aid and guidance to ensure that everything is done in accordance with the contract

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Advantages of Franchising

- Advantages:
  - Training and guidance provided
  - Brand-name appeal and awareness
  - A proven track record, so less risk
  - Financial assistance from franchisor

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Disadvantages of Franchising

- Disadvantages:
  - Franchise fees may be as high as $1million; must also pay royalty on sales.
  - Franchisor control to achieve uniformity
  - Unfulfilled promises from franchisor

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Some of the Most Recognized Franchises

- Burger King
- Dairy Queen
- Days Inn
- Denny's
- Dunkin' Donuts
- H&R Block (Tax Preparation)
- McDonald's
- Meineke Car Care Centers
- Papa John's Pizza
- 7-Eleven
- Snap-on Tools
- Sports Clips (Hair Salons)
- Subway
- UPS Store (previously Mailboxes, etc.)

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The Cost of Franchising

1. The basic franchise fee
2. Insurance
3. Opening product inventory
4. Remodeling and leasehold improvements
5. Utility charges
6. Payroll
7. Debt service
8. Bookkeeping and accounting fees
9. Legal and professional fees
10. State and local licenses, permits, and certificates

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Franchise Law

- Franchise Rule governs franchise requirements.
- **Franchise Disclosure Document** (FDD)
  - Divided into 23 categories that provide different segments of information for prospective franchisees.
  - Developed to provide guidance in complying with the Franchise Disclosure Rule that requires franchisors to make full presale disclosure about their franchises.
  - Prospective franchisee must receive the FDD before signing a contract.

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Discussion Activity

- Students can go online and look for news articles on court cases involving franchise arrangements.
- As they find a case, they can describe it to the class. If of interest to others, they can form a group to learn more about that case.
- The cases can then be presented and discussed as a class.

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Evaluating Franchising Opportunities

- The Franchise Opportunity Decision
  - Learning of Franchising Opportunities
    - Sources: newspapers, trade publications, Internet, franchisors.
  - Investigating the Franchisor
    - Deal with a legitimate franchisor.
    - Franchisor should also investigate prospective investors.
  - Seeking Professional Help
    - Consult an attorney with the contract.
    - Consult a banker to review the prospectus.
    - Consult an accountant to project income statements.

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World Wide Web Franchise Sites

Common Sites

http://www.franchiseexpo.com

http://www.franchise.org

http://www.franchisedirect.com

https://entrepreneur.com/franchises

Other Valuable Sites:	
American Bar Association Forum on Franchising	https://www.americanbar.org/groups/franchising.html
U.S. Small Business Administration	https://www.sba.gov
Minority Business Entrepreneur magazine	https://mbemag.com
Franchise Times	https://www.franchisetimes.com
Franchising.com	https://www.franchising.com
National Restaurant Association	https://restaurant.org
Federal Trade Commission	https://www.ftc.gov/tips-advice/business-center/selected-industries/franchises%2C-business-opportunities%2C-and-investments
Franchise.com	https://www.franchise.com
Franchise Solutions	https://www.franchisesolutions.com
Franchise Opportunities Network	https://www.franchiseopportunities.com
Franchise Mall	http://www.thefranchisemall.com
FranchiseWire America's Best Franchises All USA Franchises Franchise Chatter	https://www.franchisewire.com https://americasbestfranchises.com https://www.allusafranchises.com https://www.franchisechatter.com

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Incubators, Accelerators, and Entrepreneurial Ecosystems

- **Business Incubators**
  - Provide services such as management training and office space.
- **Business Accelerators**
  - Offer support services and funding opportunities.
  - Entrepreneurs offer equity in their company.
- **Entrepreneurial Ecosystems**
  - Ecosystem: an agglomeration of interconnected individuals, entities, and regulatory bodies in an area.
  - Entrepreneurial Ecosystem: social and economic environment affecting local entrepreneurship.

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Summary

Click the link to review the objectives for this presentation.

Link to Learning Objectives

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